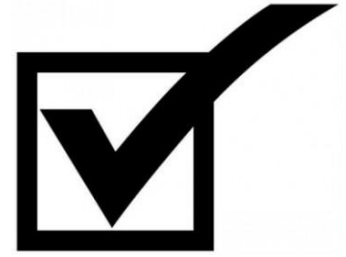




**BUSINESS  
PROFESSIONALS**  
of **AMERICA**  
Giving Purpose to Potential



# Fundamental Accounting

## (100)

### National 2025

#### CONCEPT KNOWLEDGE:

Multiple Choice (40 @ 2 points each) \_\_\_\_\_ (80 points)

#### APPLICATION KNOWLEDGE:

Short Answer (16 @ 3 points each) \_\_\_\_\_ (48 points)

Job 1: Depreciation \_\_\_\_\_ (30 points)

Job 2: Inventory Costing \_\_\_\_\_ (41 points)

Job 3: Effects on Net Income \_\_\_\_\_ (60 points)

***TOTAL POINTS*** \_\_\_\_\_ ***(259 points)***

## Test Time: 90 minutes

**GENERAL GUIDELINES:**

*Failure to adhere to any of the following rules will result in disqualification:*

1. Member must hand in this test booklet and all printouts if any. Failure to do so will result in disqualification.
2. No equipment, supplies, or materials other than those specified for this event are allowed in the testing area. No previous BPA tests and/or sample tests (handwritten, photocopied, or keyed) are allowed in the testing area.
3. Electronic devices will be monitored according to ACT standards.

**EXAM GUIDELINES:**

You have been hired as a Financial Assistant and will be keeping the accounting records for Digital Solutions, located at 700 Morse Road, Suite 201, Columbus, Ohio 43214. Digital Solutions provides accounting and other financial services for clients. You will complete jobs for Digital Solutions' own accounting records, as well as for clients.

You will have 60 minutes to complete your work. The test is divided into two parts: concept knowledge and application knowledge.

Your name and/or school name should *not* appear on any work you submit for grading. Write your Member ID in the provided space. Staple all pages in order before you turn in your test.

Assumptions to make when taking this assessment:

- Round all calculations to two decimal places at the final step.
- Round all percentages to one decimal place.
- Use 360 days for interest calculations.

**Multiple Choice – 2 points each; 80 points total**

|     |   |     |   |
|-----|---|-----|---|
| 1.  | A | 21. | A |
| 2.  | A | 22. | C |
| 3.  | D | 23. | C |
| 4.  | B | 24. | B |
| 5.  | A | 25. | B |
| 6.  | D | 26. | D |
| 7.  | D | 27. | C |
| 8.  | D | 28. | A |
| 9.  | B | 29. | B |
| 10. | C | 30. | A |
| 11. | C | 31. | B |
| 12. | D | 32. | A |
| 13. | C | 33. | B |
| 14. | D | 34. | A |
| 15. | C | 35. | B |
| 16. | B | 36. | A |
| 17. | A | 37. | A |
| 18. | B | 38. | B |
| 19. | B | 39. | A |
| 20. | A | 40. | A |

**Short Answer – 3 points each; 48 points total – Note to Graders, for account names, accept similar account names, such as Bad Debts Expense instead of Uncollectible Accounts Expense, as correct.**

|     |                                    |
|-----|------------------------------------|
| 1a. | 2,989.96                           |
| 1b. | Uncollectible Accts. Expense       |
| 1c. | Allowance for Uncollectible Accts. |
| 1d. | 3,614.96                           |
|     |                                    |
| 2a. | 35,000                             |
| 2b. | 59,120                             |
| 2c. | 238,245                            |
| 2d. | 758,245                            |
|     |                                    |
| 3a. | 88,584                             |
| 3b. | 59,056                             |
|     |                                    |
| 4a. | Cash                               |
| 4b. | Notes Payable                      |
| 4c. | February 19, 2026                  |
| 4d. | 30.75                              |
| 4e. | 69.19                              |
| 4f. | 4,569.19                           |

**Job 1 – Depreciation – 1 point for each answer within the table; – 30 points total**

|           | Straight Line       |                          |                   | Double-declining Balance |                          |                   |
|-----------|---------------------|--------------------------|-------------------|--------------------------|--------------------------|-------------------|
| Equipment | Annual Depreciation | Accumulated Depreciation | Ending Book Value | Annual Depreciation      | Accumulated Depreciation | Ending Book Value |
| 2025      | <b>1,800</b>        | <b>1,800</b>             | <b>8,200</b>      | <b>4,000</b>             | <b>4,000</b>             | <b>6,000</b>      |
| 2026      | <b>1,800</b>        | <b>3,600</b>             | <b>6,400</b>      | <b>2,400</b>             | <b>6,400</b>             | <b>3,600</b>      |
| 2027      | <b>1,800</b>        | <b>5,400</b>             | <b>4,600</b>      | <b>1,440</b>             | <b>7,840</b>             | <b>2,160</b>      |
| 2028      | <b>1,800</b>        | <b>7,200</b>             | <b>2,800</b>      | <b>864</b>               | <b>8,704</b>             | <b>1,296</b>      |
| 2029      | <b>1,800</b>        | <b>9,000</b>             | <b>1,000</b>      | <b>296</b>               | <b>9,000</b>             | <b>1,000</b>      |

**Job 2 – Inventory Costing – 1 point for each shaded area; 5 points for correct FIFO, LIFO, and Weighted Average Cost in the final table; 41 points total****FIFO Table**

| Purchase Dates            | Units Purchased | Unit Price | Total Cost      | FIFO Units On Hand | FIFO Cost     |
|---------------------------|-----------------|------------|-----------------|--------------------|---------------|
| Jan 1 beginning inventory | 38              | 7.65       | <b>290.70</b>   |                    |               |
| Feb 18 purchase           | 42              | 8.14       | <b>341.88</b>   |                    |               |
| May 30 purchase           | 50              | 8.98       | <b>449.00</b>   |                    |               |
| Sept 14 purchase          | 45              | 9.21       | <b>414.45</b>   | <b>32</b>          | <b>294.72</b> |
| Dec 6 purchase            | 40              | 9.50       | <b>380.00</b>   | <b>40</b>          | <b>380.00</b> |
| Totals                    | <b>215</b>      |            | <b>1,876.03</b> | <b>72</b>          | <b>674.72</b> |

**LIFO Table**

| Purchase Dates            | Units Purchased | Unit Price | Total Cost      | LIFO Units On Hand | LIFO Cost     |
|---------------------------|-----------------|------------|-----------------|--------------------|---------------|
| Jan 1 beginning inventory | 38              | 7.65       | <b>290.70</b>   | <b>38</b>          | <b>290.70</b> |
| Feb 14 purchase           | 42              | 8.14       | <b>341.88</b>   | <b>34</b>          | <b>276.76</b> |
| May 23 purchase           | 50              | 8.98       | <b>449.00</b>   |                    |               |
| Oct 12 purchase           | 45              | 9.21       | <b>414.45</b>   |                    |               |
| Dec 6 purchase            | 40              | 9.50       | <b>380.00</b>   |                    |               |
| Totals                    | <b>215</b>      |            | <b>1,876.03</b> | <b>72</b>          | <b>567.46</b> |

| Method                      | FIFO          | LIFO          | Weighted Average |
|-----------------------------|---------------|---------------|------------------|
| Total Ending Inventory Cost | <b>674.72</b> | <b>567.46</b> | <b>628.56</b>    |

**Job 3 – Effects on Net Income – 2 points each; 60 points total**

| <b>Transaction Number</b> | <b>Effect on Net Income -<br/>Increase, Decrease, None</b> | <b>Amount of Effect</b> |
|---------------------------|------------------------------------------------------------|-------------------------|
| 1                         | None                                                       | 0                       |
| 2                         | None                                                       | 0                       |
| 3                         | Decrease                                                   | 2,200                   |
| 4                         | Increase                                                   | 630                     |
| 5                         | Decrease                                                   | 12.60                   |
| 6                         | None                                                       | 0                       |
| 7                         | Decrease                                                   | 6,680                   |
| 8                         | Decrease                                                   | 588.52                  |
| 9                         | None                                                       | 0                       |
| 10                        | Increase                                                   | 26.35                   |
| 11                        | None                                                       | 0                       |
| 12                        | Decrease                                                   | 4,000                   |
| 13                        | Decrease                                                   | 1,000                   |
| 14                        | Increase                                                   | 765                     |
| 15                        | None                                                       | 0                       |